

Role of Government

▼ What are the four primary roles of government?

Redistribute income through taxation, spending and welfare

Reallocate resources through the provision of public services and goods

Regulate business enterprises with enforcement of law

Macroeconomic management to stabilise the BTC

During low periods of economic growth the government enforces these roles more rigorously

▼ How does the government redistribute income?

The income redistribution objective of government is to ensure all people in Australian society can achieve a reasonable minimum standard of living

The government does this through a progressive tax system and expenditure on jobs, infrastructure, projects.

Job keeper payments have redistributed a proportion of incomes during a period of low economic activity to boost expenditure and confidence within the economy to maintain a base level of economic activity

▼ How does the government reallocate resources?

The government provides public goods and services as well as regulate common property goods

These goods are non-excludable and have no market price so are subject to market failure - limitation

Mitigates the tragedy of the commons and the free rider effect

Such as roads and lighting

Provision of merit goods e.g. education

Encourages a higher level of consumption of merit goods through subsidies to enable more access to higher levels of education in order to benefit economic activity in the future

The government steps in to provide resources that they think the private sector could not efficiently and adequately provide

▼ **How does the government regulate business enterprises?**

Creates standards for compliance within industry

Regulates the market to prevent monopolies (market power)

Governments should intervene to the extent to which the benefits are equal to the cost of imposing the regulation

For example, paper work to fill in to start a business. The cost of reading through the paper work has to be less than the regulation and clarity benefited to the business and the market

Such as the Australian Competition and Consumer Commission. An organisation that helps to regulate competition among business as well as advocates for consumer welfare. Regulates competition in the economy and restricts firms from gaining too much market power

▼ **How does the government macroeconomically manage the country?**

Use of policy measures to reduce fluctuations in economic activity within the BTC

Reduce the effect of a downwing and reduce the effect of too high economic growth

Fiscal policy, the budget.

Taxation, jobkeeper, infrastructure projects

▼ **What percentage of GDP does the government total?**

Size of the government in terms of GDP (expenditure): approx. 40%

Spending on infrastructure projects (G2) but also utilities on a day to day basis (G1)

Over time has increased

▼ **How big is government revenue and what are the three main components?**

Government revenue was about \$505.52b or 30% of GDP in 2019

Main components are:

- Taxation revenues
- Sales tax (GST)
- Excise and customs duty

▼ **What is a modified market economy?**

A modified market economy is one that has a level of government intervention to regulate business, redistribute income, manage the macroeconomy, and provide public goods, all whilst promoting a free market system. An example of this is Australia.

▼ **How does the government regulate business enterprises?**

The government regulates business enterprise to ensure a competitive and fair market as to prevent abuse of market power and collusive behaviour within the market. One way the government achieves this is through the Australian Competition and Consumer Commission (ACCC) which is an independent government body that advocates for the rights of consumers and fair business practices.

▼ **How does the government manage the macroeconomy?**

The government manages the macroeconomy to restrict fluctuations within the Business trade cycle (BTC) that would negatively affect the sustainability of the economy. The government ensures this through the provision of policy measures such as fiscal policy. An example of the use of the fiscal policy to reduce the negative effects of a high level of economic activity within a boom/upswing is the implementation of a higher tax rate. This would reduce the amount of spending within the economy and reduce incomes in order to prevent unsustainable growth and inflation.

▼ **How does the government redistribute income?**

The government redistributes income in order to promote a minimum standard of living within the population. One measure the government employs to redistribute income is the progressive tax system. This is a system that increases the tax rate as incomes increase. Therefore higher income earners pay a higher percentage of their income in tax, reducing the income gap, and also pay a higher proportion of total tax revenue to the government. This revenue can then be used on other government

expenditure options and policy measures to further promote income equality.

▼ **How does the government reallocate resources?**

The government reallocates resources through the provision of public goods and services, and merit goods, in places which the private sector is unable to adequately and efficiently fulfill the demand/requirements. Public goods are non-excludable and non-rival (i.e. you don't need to pay for them and they can be consumed by multiple people at once) and therefore provide no monetary benefit to firms if they were to provide them. An example of a public good is public street lighting. This is crucial to the functioning of a proper society, and is a good which the private sector would be unable to provide, so the government steps in. Moreover, the provision of merit goods such as education is done by the government. The regulation of common property resources also happens such as restricting fish catch numbers.

▼ **Describe the size and composition of the government.**

The government is a body that guides the population by making nationwide decisions on its behalf. In Australia the government accounts for 40% of GDP and government revenue is equivalent to 30% of GDP, with most income coming from personal income tax.